

Innovation: What it is and why it matters

Managing Innovation

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Introduction

- Innovation is the specific instrument of entrepreneurship.
- It is a core driver of economic growth and organizational survival.
- It is not a random event or solely about "eureka" moments; it is a management process.

Key Premise

Innovation is not just about technology; it is about integrating technological, market, and organizational change to create value.

Why Innovation Matters

The environment is dynamic, not static. Organizations that fail to change do not survive.

Drivers for Innovation:

- Shifting customer needs.
- Competitor actions.
- New technologies.
- Regulatory changes.

The Darwinian Reality

"It is not the strongest of the species that survives, nor the most intelligent, but the one most responsive to change."

Distinguishing **Invention** from **Innovation** is critical.

- **Invention:** The creation of a new idea or device.
- **Innovation:** The process of turning that idea into practical use and capturing value from it.

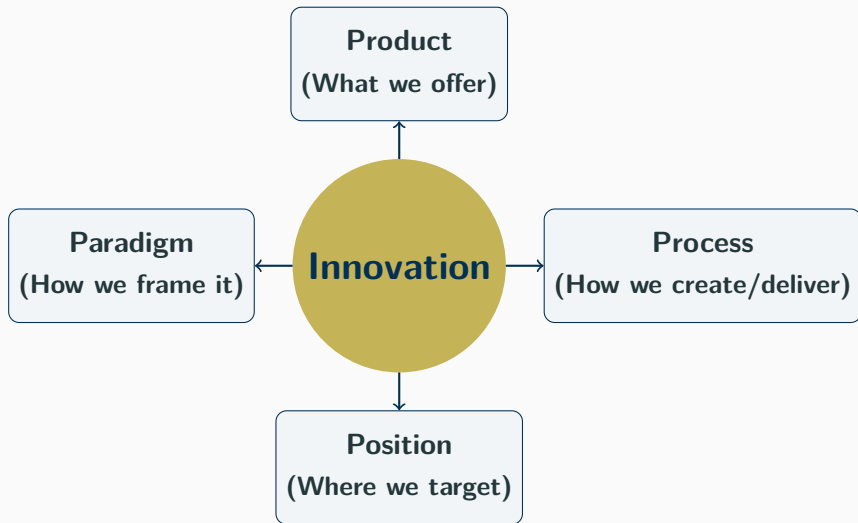
$$\text{Innovation} = \text{Invention} + \text{Commercialization}$$

The 4Ps of Innovation

Innovation can take place in four broad categories, known as the "4Ps":

1. **Product Innovation:** Changes in the things (products/services) an organization offers.
2. **Process Innovation:** Changes in the ways in which they are created and delivered.
3. **Position Innovation:** Changes in the context in which the products/services are introduced.
4. **Paradigm Innovation:** Changes in the underlying mental models which frame what the organization does.

Visualizing the 4Ps



Closer Look: Product & Process

Product Innovation

- New car design.
- New insurance policy.
- New home entertainment system.

Visible to the customer.

Process Innovation

- Lean manufacturing.
- Automated banking systems.
- Supply chain optimization.

Often invisible but critical for cost/speed.

Closer Look: Position & Paradigm

Position Innovation

Repositioning the perception of an established product.

- Haagen-Dazs (Adult luxury vs. kid's treat).
- Low-cost airlines (Flying as a bus service).

Paradigm Innovation

Changing the business model or mind-set.

- iTunes/Spotify (Music as service vs. product ownership).
- Dyson (Appliances as high-tech status symbols).

Degrees of Novelty

Innovation is not always a major breakthrough. It exists on a continuum.

- **Incremental Innovation:** 'Doing what we do but better.' Continuous improvement, low risk, low uncertainty.
- **Radical (Discontinuous) Innovation:** 'Doing something completely different.' High risk, high uncertainty, potential for new markets.

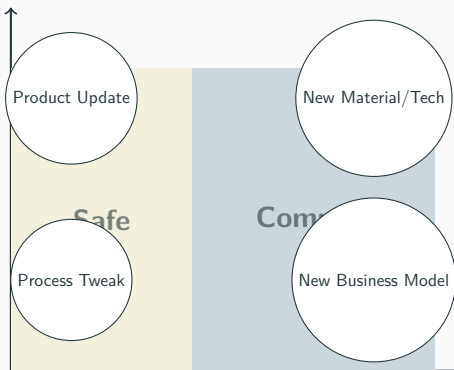
Note

Most innovation is incremental, yet radical innovation captures the headlines and often drives industry disruption.

The Innovation Map

Mapping the 4Ps against the Degree of Novelty.

Innovation Type (4Ps)



Degree of Novelty (Incremental → Radical)

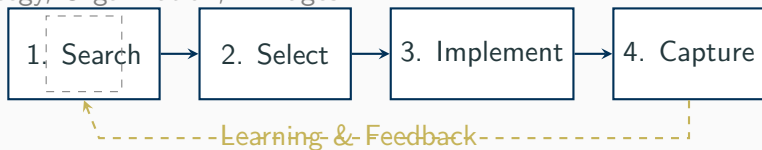
Innovation as a Management Process

Innovation is a sequence of activities that can be managed.

1. **Search:** Scanning the internal and external environment for threats and opportunities.
2. **Select:** Deciding which of these signals to respond to (strategy/resource allocation).
3. **Implement:** Turning the potential into reality (development/launch).
4. **Capture Value:** Ensuring the organization benefits (financially or socially) from the effort.

The Innovation Process Model

Context: Strategy, Organization, Linkages



Successful organizations develop routines for each stage of the process.

- **Search Routines:** Market research, R&D, networking.
- **Selection Routines:** Project management, portfolio analysis, risk assessment.
- **Implementation Routines:** prototyping, change management, launching.

The Challenge

These routines must be learned and practiced. "Innovation capability" is the ability to repeat this process effectively.

The generic process (Search, Select, Implement, Capture) is universal, but **how** it is managed depends on context:

- **Sector:** Pharma (science-push) vs. Retail (demand-pull).
- **Size:** Start-ups (agile but resource-poor) vs. Large Corps (resource-rich but bureaucratic).
- **Lifecycle:** Early stage (product innovation) vs. Mature stage (process innovation).

Chapter Summary

1. Innovation is essential for survival and growth.
2. It is a process of turning opportunity into value, not just invention.
3. It occurs across 4 dimensions: Product, Process, Position, Paradigm.
4. It ranges from incremental improvements to radical discontinuities.
5. It can be managed through a core process: Search → Select → Implement → Capture.

Q&A

"Innovation is the only way to win."
– Steve Jobs